

SPARKS SMITH ELECTRIC v. INDUSTRIAL SERVICES SOLUTIONS
Case No. CL26-00578

Petition to Compel Arbitration

TENTATIVE RULING

The petition of Defendants NICK KALLIOS and INDUSTRIAL SERVICES SOLUTIONS, LLC ("ISS") to compel arbitration is GRANTED.

Plaintiff's claims against both KALLIOS and ISS are based on the "Electrical Services Agreement" ("ESA") entered into by plaintiff and KALLIOS on December 12, 2024. The ESA appears to have been drafted by Plaintiff and is on Plaintiff's letterhead. The ESA contains a binding arbitration clause that applies to the dispute that gave rise to plaintiff's claims in this case. The location for the services is 3948 Teal Court, Benicia, CA 94510. Declarant Tammy R. Page attests that this is the location of business ISS. Plaintiff acknowledges that invoices were addressed to KALLIOS and ISS and mailed to the 3948 Teal Court location. (Opposition, p. 4, Exh. A.)

Although the titles of Plaintiff's arguments seem to suggest that ISS could not compel arbitration, the body of Plaintiff's opposition seems to acknowledge that the ESA is enforceable against ISS under the principle that KALLIOS signed the EAS as an agent for ISS which subsequently ratified the agreement and accepted benefits under the agreement. Clearly, Plaintiff's claims against KALLIOS and ISS are intertwined.

If the agreement is enforceable against ISS, as plaintiff acknowledges, so too is the arbitration clause contained in the agreement. Plaintiff is equitably estopped from contending that the agreement is enforceable against ISS, but that the arbitration clause in that same agreement is not. (*Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 226, fn. 9.)

Further, even if ISS is not an actual "party" to the ESA, ISS was a third party beneficiary of the ESA which had an arbitration clause. A third party beneficiary nonsignatory may compel arbitration against a party to an agreement. (*Ronay Family Limited Partnership v. Tweed* (2013) 216 Cal.App.4th 830, 839.)

Defendants requested attorney's fees on this petition, but they cited no legal authority for the award and any such claim would be the exclusive province of the arbitrator.
